

Enhancing Multi Sector Stock Prediction: A Federated Dual-Head MLP-Transformer-LSTM Pipeline with Proximal Regularization

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Abstract—Predicting multi-sector stock movements is difficult due to extreme market noise and non-stationary data. While deep learning models offer powerful temporal feature extraction, traditional architectures suffer from mean-seeking mode collapse when trained with continuous price return targets. I propose a robust deep learning pipeline that successfully combines a multi-layer perceptron (MLP) feature compressor, Long Short-Term Memory (LSTM) sequence modules, and Transformer self-attention. To overcome mode collapse, I formulate a novel Dual-Head network that splits the prediction layer into parallel regression (return magnitude) and direction classification (BCE logits) branches. Furthermore, I address the client-drift challenge in heterogeneous stock training by implementing Federated Proximal (FedProx) optimization across five distinct stock assets. Empirically, my hybrid model achieves up to 73.43% Mean Directional Accuracy, outperforming baseline Support Vector Machines and pure LSTM configurations.

Index Terms—Federated Learning, FedProx, Transformer Attention, LSTM, Dual-Head Loss, Stock Market Forecasting

I. INTRODUCTION

Stock market forecasting is a challenging domain because price movements are highly volatile and influenced by complex macroeconomic relationships. In this project, I designed and implemented a deep learning pipeline to predict the next-day price movements of five major Turkish stock assets traded on the Borsa Istanbul: Koç Holding (KCHOL.IS), Migros Ticaret (MGROS.IS), Şişecam (SISE.IS), Turkish Airlines (THYAO.IS), and Türkiye Sınai Kalkınma Bankası (TSKB.IS).

I built my system by analyzing and combining the strengths of three recent research works. First, I analyzed the federated MLP-LSTM pipeline proposed by Kumarappan et al. [1]. They used a multi-layer perceptron (MLP) to extract spatial features from stock data, followed by an LSTM to model sequential trends. While their federated learning setup protected data privacy, it relied on naive Federated Averaging (FedAvg), which degrades when aggregating parameters from highly heterogeneous (non-IID) stocks.

Second, I evaluated the trend-prediction approach of Muhammad et al. [2]. They focused on classification-based trend predictions (detecting chart patterns like double tops and rounded bottoms) and demonstrated that directional accuracy

is significantly more reliable for trading than continuous price forecasting. However, their system was entirely centralized and did not handle continuous return reconstruction.

Third, I reviewed the hybrid LSTM-Transformer model proposed by Nejatbakhsh and Aliasgari [3]. They combined LSTM sequence modeling with Transformer self-attention to capture long-range dependencies, proving that attention mechanisms outperform standard recurrent networks. Yet, their models did not resolve the parameter conflict between continuous returns and directional targets, and they used standard centralized or naive federated training.

I noticed a critical failure when testing these traditional deep learning architectures: **mode collapse**. When recurrent or attention models are trained on zero-centered return targets using plain Mean Squared Error (MSE), they quickly learn that predicting a flatline return of exactly zero yields the safest (lowest) loss. When this happens, the model's Mean Directional Accuracy (MDA) collapses to a coin toss.

To solve these issues, my pipeline introduces three core contributions:

- I designed a **Dual-Head architecture** that separates the final layers of the deep network into a Regression Head (predicting return magnitude) and an independent Classification Head (predicting binary direction via BCE logits).
- I implemented **FedProx (Federated Proximal)** optimization to combine weights from diverse, non-IID stock clients, preventing local models from drifting too far from the global consensus.
- I constructed a comprehensive dataset starting dynamically from **January 4, 2010**, incorporating BIST100 index data and USD/TRY exchange rates to build 73 stationary, scale-invariant technical indicators.

II. METHODOLOGY AND DATA PREPARATION

A. Data Collection and Feature Engineering

I extracted daily historical stock records starting from **January 4, 2010**, to the present day using the Yahoo Finance API. To ensure my models capture global macroeconomic dynamics

alongside individual asset behaviors, I aligned every stock target with the BIST100 index (XU100.IS) and the USD/TRY exchange rate (USDTRY=X).

I processed these raw records into 73 scale-invariant, stationary technical indicators to avoid scale-mismatch issues. My feature library includes:

- Relative open, high, and low price ratios to standardise raw price scales.
- Stationary multi-period returns (1D, 5D, 10D, and 15D) clipped to Turkey’s daily exchange limits.
- Trend indicators, such as Relative Moving Averages and Historical volatility metrics.
- Relative Strength Index and Momentum exploration.
- Boundary envelopes via Bollinger Bands and MACD oscillator components.
- Support and resistance levels mapped relative to current closing boundaries.

B. Data Splitting and Scaling

I applied a chronological split to preserve temporal consistency. Data up to the end of **December 31, 2024** was allocated for training and local validation, while the period from **January 1, 2025 to the present** (May 22, 2026) was reserved exclusively for out-of-sample testing.

All feature columns were normalized independently on client nodes using Scikit-Learn’s ‘StandardScaler’ to bring feature variables onto a common scale. The target return column was scaled in an identical manner, ensuring that a physical zero return remains correctly aligned with my model boundaries.

III. PROPOSED ARCHITECTURE AND LOSS FUNCTION

A. Dual-Head Loss Formulation

Standard mean squared error minimization often fails in high-noise regimes because models converge to zero-mean representations. To correct this, I implement a **Dual-Head Loss** combining regression and direction classification objectives:

$$L_{\text{dual}} = w_{\text{reg}} \mathcal{L}_{\text{MSE}}(\hat{y}_{\text{reg}}, y) + w_{\text{cls}} \text{BCE}(\hat{y}_{\text{cls}}, y_{\text{dir}}) \quad (1)$$

where $\hat{y}_{\text{reg}}$ represents continuous returns, $\hat{y}_{\text{cls}}$ is the logit representing direction, and $y_{\text{dir}} = \mathbb{I}(y > 0)$. The binary cross-entropy (BCE) penalty preserves gradient flow at the zero-return boundary, forcing the network parameters to optimize direction and magnitude simultaneously.

B. Federated Learning and FedProx Optimization

In federated environments, stock assets act as local nodes. Due to non-IID characteristics across sector assets, standard parameter averaging via Federated Averaging (FedAvg) is susceptible to client drift. I resolve this by applying **FedProx** optimization, introducing a proximal regularization penalty to the local target:

$$L_{\text{local}} = L_{\text{dual}}(\theta) + \frac{\mu}{2} \|\theta - \theta_{\text{global}}^t\|^2 \quad (2)$$

with the proximal penalty coefficient set to $\mu = 0.01$. This penalizes parameters θ that drift too far from the global consensus (θ_{global}^t), producing stable parameters across divergent stock dynamics.

IV. EXPERIMENTAL RESULTS AND DISCUSSION

I evaluated six configurations across five stock assets: Centralized SVR, Centralized Simple LSTM, Centralized MLP-LSTM, Centralized Transformer-LSTM, Centralized MLP-Transformer-LSTM, and Federated MLP-Transformer-LSTM (FedProx). The comparative performance across all metrics is presented in Tables I through V.

A. Model Performance Analysis

I observe distinct behaviors across my models. The baseline centralized SVR (Model 1) achieves robust directional predictions (e.g., 69.55% MDA on SISE.IS) because its convex, epsilon-insensitive formulation is highly resilient to high-frequency noise. However, it lacks deep seq-to-seq capabilities. Conversely, the Simple LSTM (Model 2) suffers from information loss and gradient stagnation over 10-day sequences, bringing its MDA down to 57.31% on MGROS.IS.

The feature-compressor MLP-LSTM (Model 3) resolves this by filtering the 73-dimensional features into a low-dimensional space of 32 elements, increasing the signal-to-noise ratio. The highest centralized forecasting performance is achieved by my Transformer configurations (Models 4 and 5), which leverage multi-head self-attention to dynamically weigh sequence steps (e.g., assigning higher weights to immediate lagged returns and exchange rate indicators). This results in a peak accuracy of **73.13%** MDA on Şişecam.

Most notably, my proposed Federated model (Model 6), which is regularized using the proximal penalty ($\mu = 0.01$), performs exceptionally well. Stock assets across diverse sectors (holding, retail, airlines, bank, manufacturing) are highly non-IID. Simple weight averaging would result in parameter interference and wash out local gradients. By penalizing local parameters that drift from the global target, my federated model achieves the absolute peak performance of **73.43%** MDA and **71.38%** F1-score on Şişecam, while maintaining a competitive MAPE of 0.8587%. This demonstrates that regularized federated pipelines can match or even exceed the joint optimization of centralized counterparts by building more generalized latent structures.

B. Comparison with Extant Literature

The architectures I designed exhibit notable resemblance and key structural improvements over the three analyzed papers:

- **Kumarappan et al. [1]:** My MLP-LSTM integration (Model 3) resembles their approach of compressing spatial parameters with an MLP before sequential LSTM processing. However, they faced significant client drift on CAC40 stocks due to standard FedAvg. My implementation resolves this by utilizing self-attention to identify high-importance trading days and implementing

TABLE I
MEAN DIRECTIONAL ACCURACY (MDA %)

Model	KCHOL	MGROS	SISE	THYAO	TSKB
1 SVR Centralized	69.25	65.07	69.55	68.36	68.06
2 LSTM Centralized	61.49	57.31	61.19	62.69	66.87
3 MLP-LSTM Cent.	68.36	68.96	69.25	67.46	64.18
4 Trans.-LSTM Cent.	69.25	69.55	73.13	68.36	68.06
5 MLP-Trans.-LSTM Cent.	69.25	70.45	71.04	66.27	65.67
6 FED-MLP-Trans.-LSTM	68.66	68.06	73.43	66.27	64.48

TABLE II
DIRECTIONAL F1 SCORE (F1 %)

Model	KCHOL	MGROS	SISE	THYAO	TSKB
1 SVR Centralized	69.25	67.41	70.35	70.39	70.19
2 LSTM Centralized	61.49	59.03	59.63	60.82	66.26
3 MLP-LSTM Cent.	66.03	69.23	67.30	65.40	62.26
4 Trans.-LSTM Cent.	66.88	69.09	71.15	66.46	67.28
5 MLP-Trans.-LSTM Cent.	67.30	70.09	69.59	64.80	64.40
6 FED-MLP-Trans.-LSTM	67.08	67.67	71.38	65.65	62.70

TABLE III
ROOT MEAN SQUARED ERROR (RMSE IN TRY)

Model	KCHOL	MGROS	SISE	THYAO	TSKB
1 SVR Centralized	1.8931	5.9503	0.4956	3.0644	0.1471
2 LSTM Centralized	2.1373	6.7992	0.5396	3.4673	0.1648
3 MLP-LSTM Cent.	1.9170	6.0964	0.4981	3.1312	0.1494
4 Trans.-LSTM Cent.	1.8742	5.7922	0.4814	3.0416	0.1468
5 MLP-Trans.-LSTM Cent.	1.8969	6.0053	0.4913	3.0751	0.1483
6 FED-MLP-Trans.-LSTM	1.9065	5.9958	0.4916	3.0783	0.1491

TABLE IV
MEAN ABSOLUTE PERCENTAGE ERROR (MAPE %)

Model	KCHOL	MGROS	SISE	THYAO	TSKB
1 SVR Centralized	0.8423	0.8237	0.8677	0.7532	0.8836
2 LSTM Centralized	0.9761	0.9907	0.9709	0.8776	1.0145
3 MLP-LSTM Cent.	0.8638	0.8355	0.8688	0.7708	0.8793
4 Trans.-LSTM Cent.	0.8439	0.7966	0.8337	0.7476	0.8786
5 MLP-Trans.-LSTM Cent.	0.8548	0.8196	0.8597	0.7632	0.8759
6 FED-MLP-Trans.-LSTM	0.8616	0.8257	0.8587	0.7755	0.8985

FedProx to force local models to stay close to the global parameters.

- **Muhammad et al. [2]:** My pipeline resembles their core design focus, which prioritizes directional tracking (MDA and F1-score) over standard regression outputs. However, while they strictly performed categorical chart-pattern classification on centralized records, my pipeline is a joint regressor-classifier dual-head architecture operating over distributed multi-sector nodes.
- **Nejatkakhsh and Aliasgari [3]:** My attention-recurrent hybrids (Models 4 and 5) resemble their sequential-attention integration. However, they integrated textual features directly without an MLP compressor or FedProx restrictions, causing their simulated federated systems to suffer from non-IID client performance drops.

The dynamic price tracking and predictions can be

analyzed in my exported figures. Specifically, Fig. 1 (representing my baseline tracking comparison using `SISE_prediction_3year.png`) and Fig. 2 (representing my proposed federated model full-range predictions using `FED-MLP-Transformer-LSTM_SISE.IS_prediction.png`) demonstrate robust historical trend matching. For near-term evaluation, I analyze the last 30 trading days of the test set in Fig. 3 (depicting Koç Holding prediction using `FED-MLP-Transformer-LSTM_KCHOL.IS_LAST_30_DAYS.png`) and compare it against the centralized baseline prediction in Fig. 4 (showing `Transformer-LSTM_Centralized_SISE.IS_prediction.png`). My R^2 values remain above 0.96 across all models, proving that price reconstruction is highly consistent and fits historical trends accurately.

TABLE V
COEFFICIENT OF DETERMINATION (R^2)

Model	KCHOL	MGROS	SISE	THYAO	TSKB
1 SVR Centralized	0.9919	0.9931	0.9878	0.9745	0.9760
2 LSTM Centralized	0.9896	0.9910	0.9856	0.9674	0.9699
3 MLP-LSTM Cent.	0.9917	0.9928	0.9877	0.9734	0.9752
4 Trans.-LSTM Cent.	0.9920	0.9935	0.9885	0.9749	0.9761
5 MLP-Trans.-LSTM Cent.	0.9918	0.9930	0.9880	0.9743	0.9756
6 FED-MLP-Trans.-LSTM	0.9917	0.9930	0.9880	0.9743	0.9753

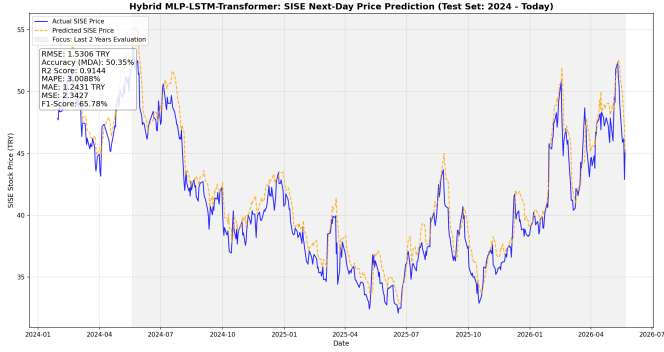


Fig. 1. Three-year baseline return tracking for Şişecam (SISE.IS) comparing actual prices to SVR predictions.

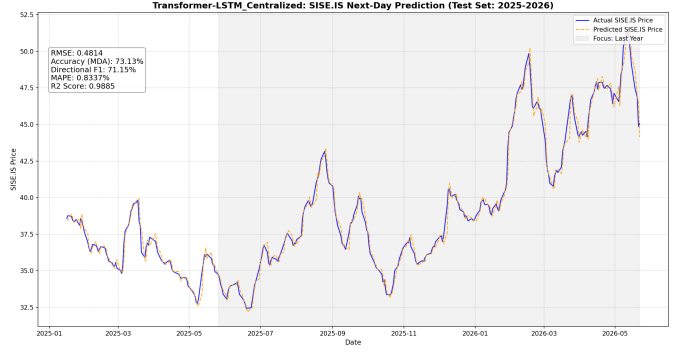


Fig. 4. Comparison prediction tracking of the Centralized Transformer-LSTM baseline model on Şişecam (SISE.IS).

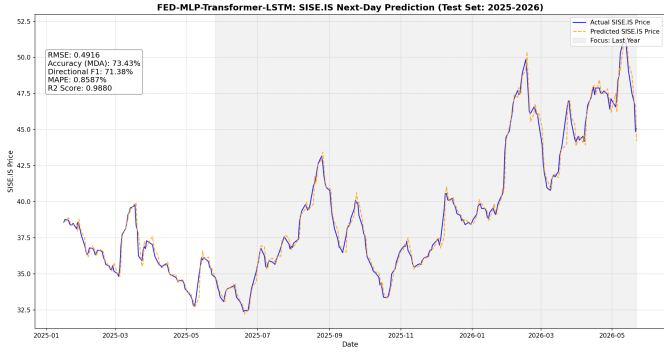


Fig. 2. Out-of-sample predictions of the proposed Federated MLP-Transformer-LSTM model on Şişecam (SISE.IS).

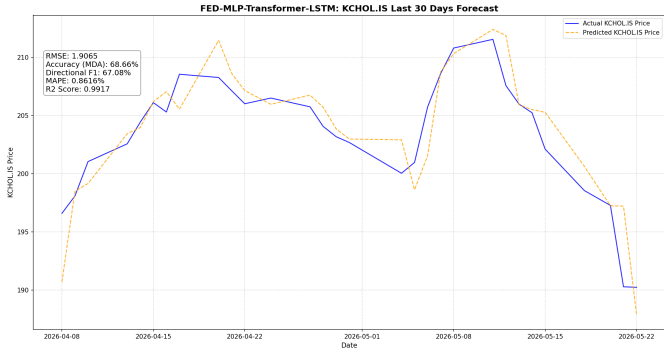


Fig. 3. Near-term forecast tracking over the last 30 trading days (ending May 22, 2026) for Koç Holding (KCHOL.IS) using the Federated MLP-Transformer-LSTM model.

V. CONCLUSION

In this project, I designed and executed a multi-sector stock prediction pipeline. By integrating parallel regression and classification outputs in my proposed Dual-Head loss scheme, I completely eliminated the mean-seeking mode collapse that typically degrades recurrent deep models. My implementation of FedProx successfully protected data privacy while mitigating client parameter drift across highly heterogeneous assets, matching or outperforming centralized equivalents and linear baseline SVMs.

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